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Recycling with the Best

Weekly Ship Recycling Report

08 March - 14 March 2025

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Highlights of the week

The ship recycling markets across India, Bangladesh, Pakistan, and Türkiye continue to face a mix of stagnation and cautious optimism. In India, the market remains stagnant with no significant movements expected soon, primarily due to limited ship availability. Despite challenges in selling recycled materials locally, reduced prices have allowed for some exports outside Gujarat, offering a slight improvement in demand. Bangladesh shows a strong demand for medium-sized vessels, but financial hurdles, including stricter banking policies on Letters of Credit, significantly hinder transactions. Administrative delays have also increased, affecting the efficiency of vessel purchases. In Pakistan, market conditions are slowly stabilizing with recyclers actively seeking buying opportunities. However, the scarcity and poor condition of available vessels, along with financial limitations, continue to challenge the market's recovery. Türkiye's market has seen a minor uptick in imports, which has yet to substantially influence local market conditions. Overall, while there are signs of activity, significant challenges remain, and a strong external driver may be required to significantly alter the current market dynamics.

The introduction of new tariffs by the U.S. has stirred economic uncertainty, with potential impacts including higher consumer prices and challenges for domestic industries. These tariffs might also prompt retaliatory actions from affected trading partners, risking a broader trade conflict. Indeed, swift retaliation has already been seen from Canada and Mexico, who have imposed their own tariffs in response, affecting goods like alcohol and fruit from the U.S. The exact outcomes are speculative, but they underscore the delicate balance in global trade dynamics and the potential for escalating tensions.

Exchange Rates:

USD / INR ₹

This Week : 86.92
Previous Week : 87.08
Gained : 0.16

USD / BDT ৳

This Week : 121.55
Previous Week : 121.41
Lost : 0.14

USD / PKR Rs

This Week : 280.11
Previous Week : 279.61
Lost : 0.50

USD / TRY ₺

This Week : 36.64
Previous Week : 36.44
Lost : 0.20

India

The market remains subdued amid uncertainty; potential policy changes awaited.

- The market continues to experience stagnation, with no significant movement due to the limited availability of tonnage. It's uncertain whether the market levels will stay the same or go down, depending primarily on ship availability.

- India is considering anti-dumping duties on certain products. If imposed, this could lower prices in the non-ferrous market. Meanwhile, the iron and steel sectors are flooded with overproduction, which strongly suggests that the market conditions are unlikely to improve.

- Current market prices have allowed recycled steel from Alang to reach several locations outside Gujarat, which has helped boost demand slightly. Previously, it was challenging to sell the full amount of material daily, but now, despite the price reductions, there is some movement of materials to new markets outside Gujarat. This shift demonstrates that the local market conditions are poor, but the lower prices are creating some demand from external markets.

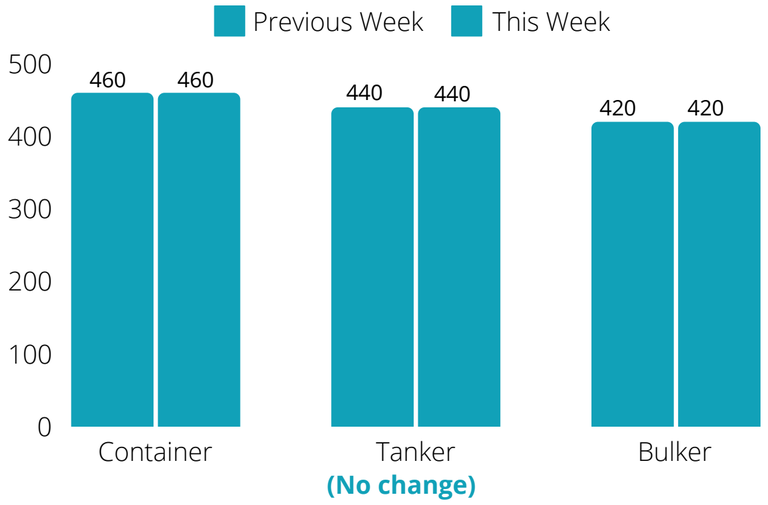
Beaching Dates

14 March to 18 March

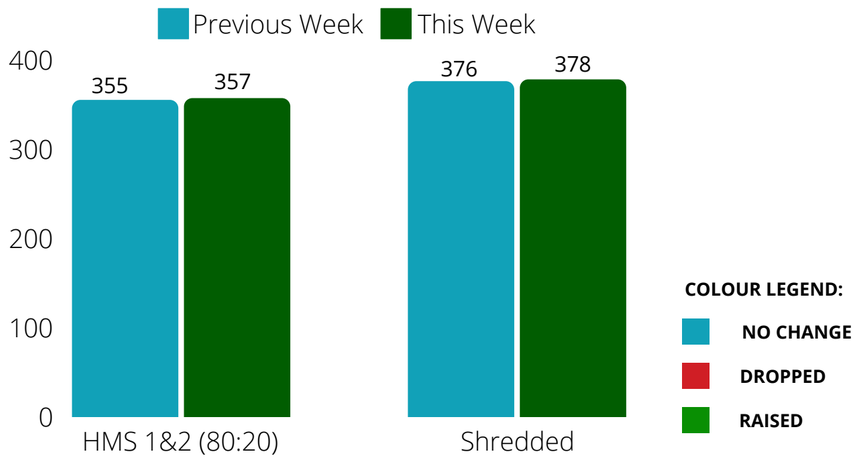
27 March to 31 March

01 April to 05 April

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

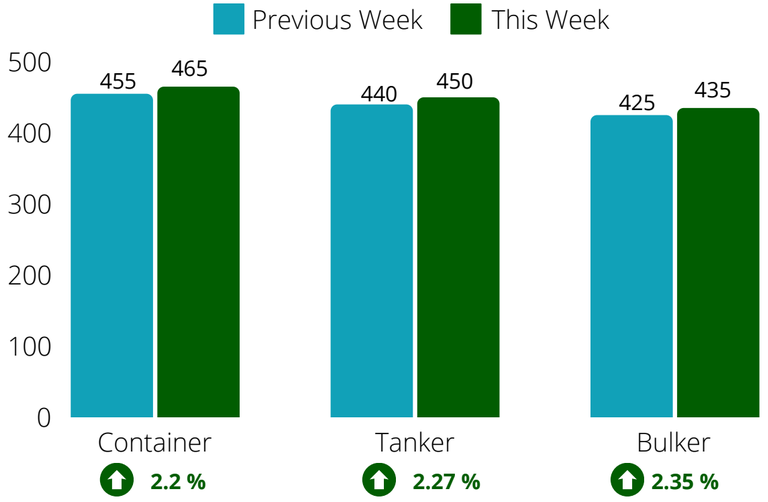
Market focus remains on mid-size vessels amidst financial constraints.

- There is good demand for vessels ranging from 8,000 to 12,000 tons. However, significant challenges in financing these purchases persist due to the very limited availability of LCs.

- The difficulty of discounting LCs worldwide has increased, with banks now more reluctant to assume risks associated with transactions in Bangladesh. This reluctance from banks complicates securing necessary financing for vessel purchases.

- Additionally, administrative efficiency has decreased; issuing No Objection Certificates (NOC) now takes approximately 5 days instead of the previous 1 day. This increase is due to changes in administrative staff and the lack of experienced personnel available.

Price for Recycling Ships in Bangladesh



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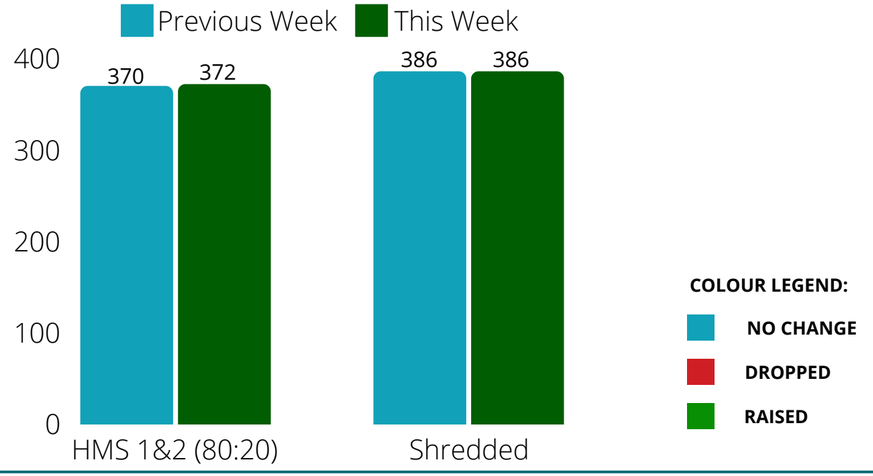


Beaching Dates

14 March to 17 March

29 March to 01 April

12 April to 15 April

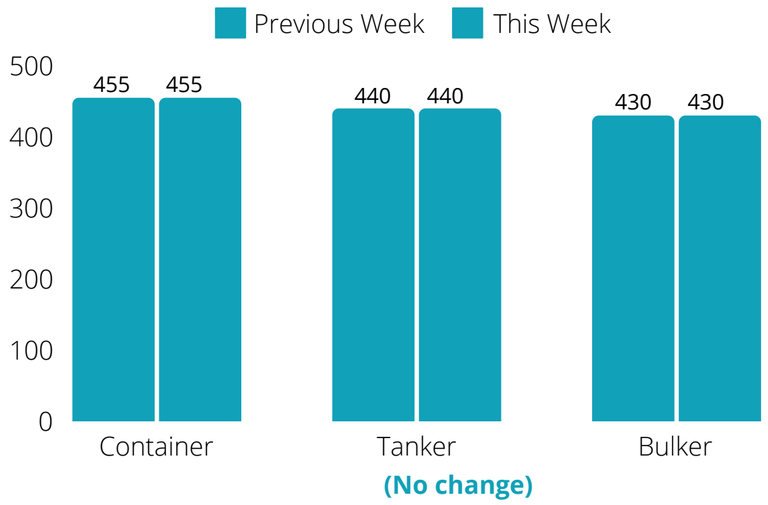
Pakistan

The Market shows signs of gradual revival amid financial constraints and cautious optimism.

- Recyclers in Pakistan are once again active in the market, gradually trying to secure material or tonnage. They are consistently searching for buying opportunities, yet currently, the available vessels are scarce, and the few that are on the market are in poor condition, which generally discourages buyers.

- The market is gradually reviving, and the local market conditions are slowly stabilizing; there is a promising outlook for Pakistan to develop as a significant buying market. However, financial limitations remain a significant hurdle, with ongoing restrictions on LCs and only a few buyers capable of opening LCs for large tonnages, which may delay transactions involving larger vessels.

Price for Recycling Ships in Pakistan



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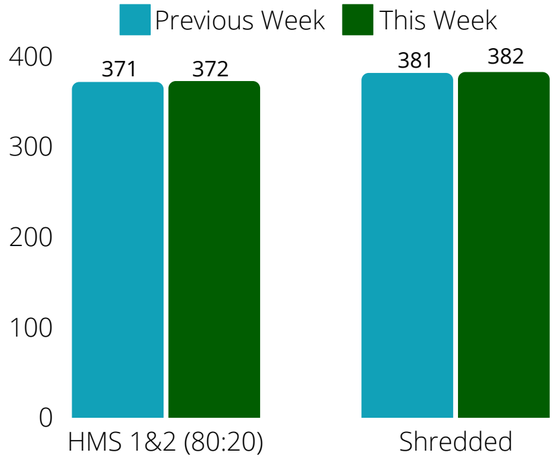


COLOUR LEGEND:

- NO CHANGE
- DROPPED
- RAISED

Beaching Dates

Throughout the month

Türkiye

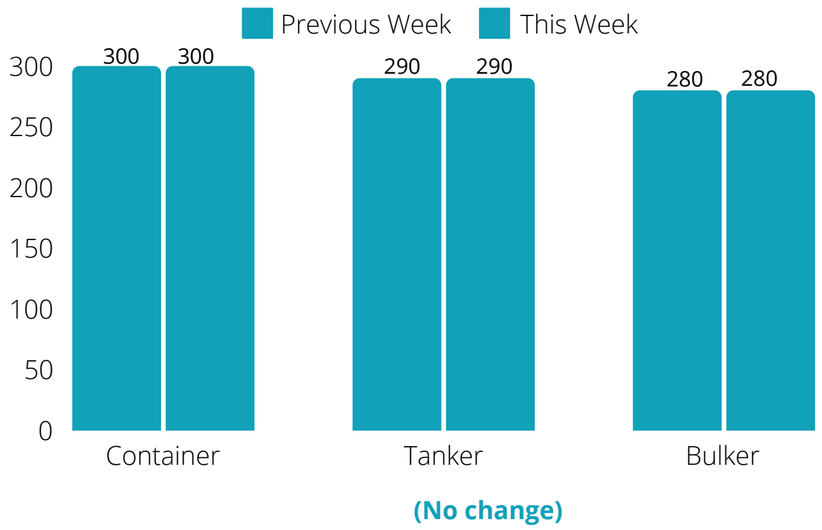
The market conditions remain similar despite an increase in imports.

- Imports have increased by about 12 USD, yet this rise has not impacted the local market. The broader effects are still unclear.

- The central bank is committed to its inflation target of 24 percent at year's end and is keeping monetary policies tight to avoid any setbacks in the disinflation process. The focus remains on managing market demand to ensure the success of these policies.

- Türkiye's current account deficit widened significantly to 3.79 billion USD in January, a 64% increase from last year, influenced by higher gold prices and energy costs. The deficit in the goods sector reached 5.56 billion USD, offset by a 3.08 billion USD surplus in the services sector.

Price for Recycling Ships in Türkiye



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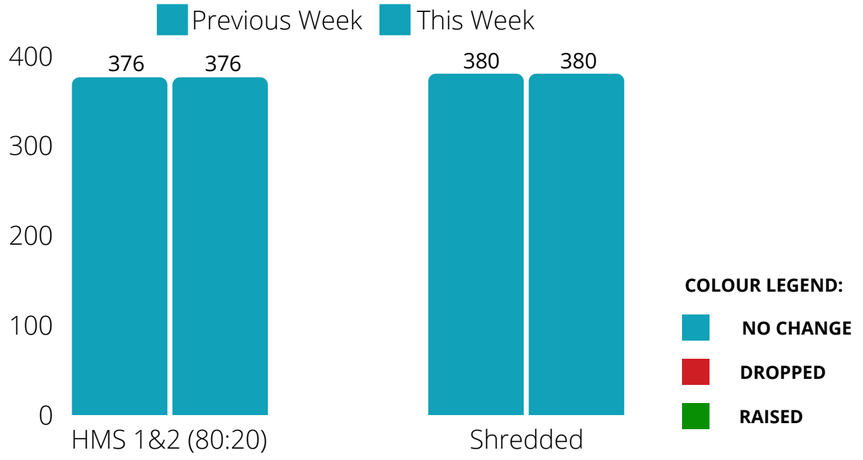
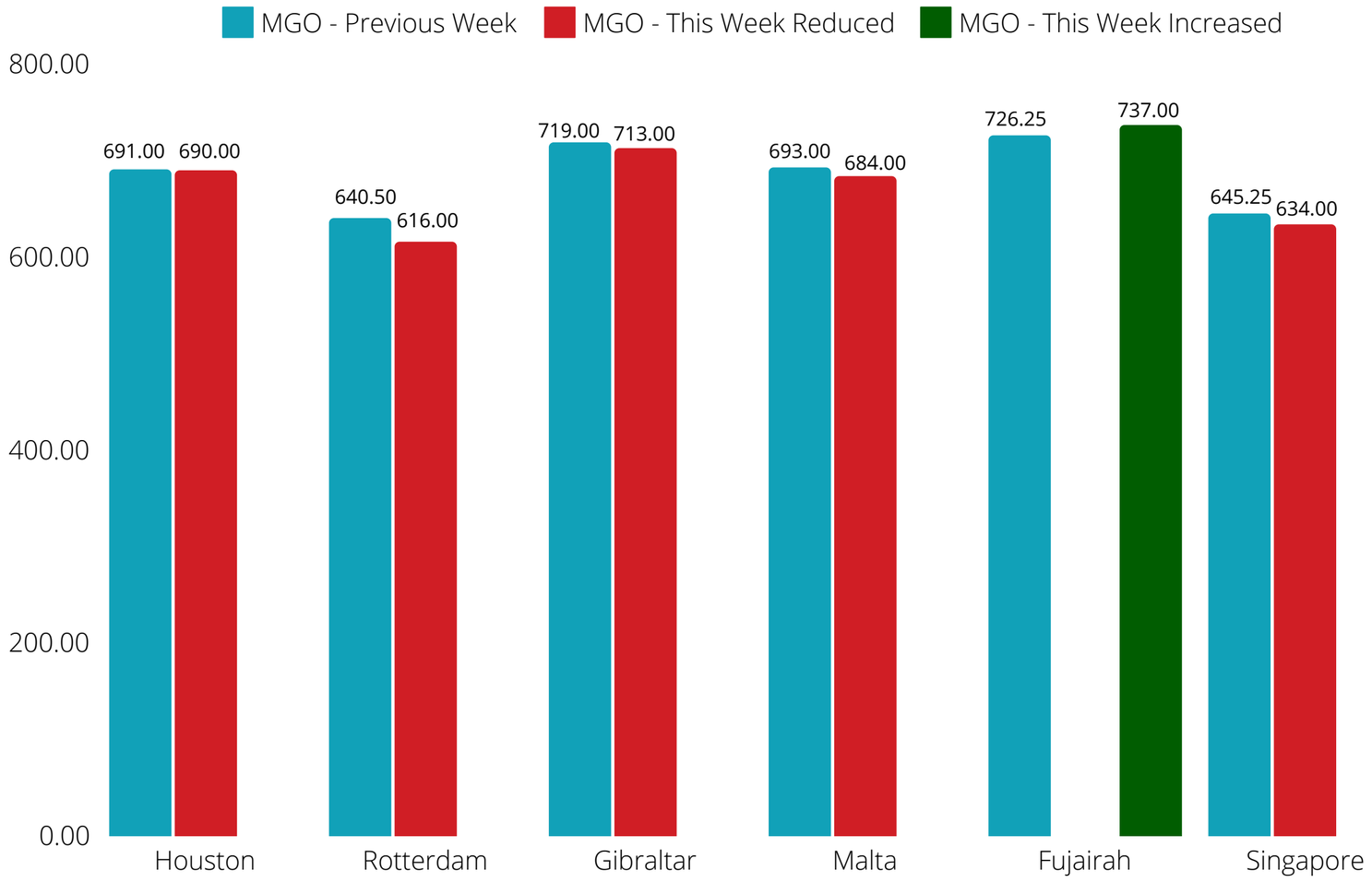


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 70.12
Previous Week	: 70.88
Movement	**: - 0.76**

WTI Crude

This Week	: 66.75
Previous Week	: 67.70
Movement	**: - 0.95**

COLOUR LEGEND:

- **NO CHANGE**
- **DROPPED**
- **RAISED**

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
TRADER III	LNG TANKER	9213416	2002	JAPAN	29,101.00	DELIVERED	CHITTAGONG,BANGLADESH	496
HESEN M	GENERAL CARGO SHIP	8507470	1986	TURKIYE	2,240.00	DELIVERED	ALANG, INDIA	UNDISCLOSED
KRITI II	PASSENGER /RO-RO	7814058	1979	JAPAN	12,920.00	DELIVERED	ALIAGA, TURKIYE	279
SUNNY LINDEN	CONTAINER	9115779	1995	SOUTH KOREA	2,216.85	AS-IS	BUSAN, SOUTH KOREA	UNDISCLOSED
ENSCO 8503	RIG	8770027	2010	SINGAPORE	19,000.00	AS-IS	GALVESTON, USA	UNDISCLOSED (TO LOCAL RECYCLING)
VALARIS DPS-5	RIG	8770522	2012	SINGAPORE	19,000.00	AS-IS	NEW ORLEANS, USA	UNDISCLOSED (TO LOCAL RECYCLING)
ENSCO 8506	RIG	8770534	2012	SINGAPORE	19,000.00	AS-IS	GALVESTON, USA	UNDISCLOSED (TO LOCAL RECYCLING)
SEAWORLD MARINE	RORO	9146871	1997	JAPAN	5,541.00	AS-IS	MOKPO, SOUTH KOREA	450
RUN FU 6	BULKER	9116280	1995	JAPAN	6,297.00	DELIVERED	INDIA/BANGLADESH	435

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